EXIT STRATEGIES

One of the most overlooked elements of trading, especially when entering a trade, is exit planning. How can you manage your risk if you can't calculate your risk reward based on your exit target, and stop loss?

We often hear people say they have a "great entry", but how can you have a great entry if you have no exit strategy? What if your stock goes up 100% from your great entry, and you don't exit only to watch it go down 50% from your entry. Think that won't happen? Take a look at hype sectors like the Marijuana space, innovative spaces like ZM, SHOP, SPCE, WKHS and many others. A successful trading strategy involves a planned exit strategy.

There are four major categories we can use to simplify exit targets:

- Fibonacci Levels
- Moving Averages
- Measured Moves
- Price Action Zones

You can actually use all of these in planning your exits, as exit strategies depend ultimately on the most likely scenario of your trade setup and which trading situations could best suit their use, and there can be some overlap between these methods.

Diagram 1 ADBE (1W) – Rejection at the 1.618 Fibonacci extension level in blue-sky breakout

Fibonacci Levels

If your stock is in blue-sky breakout (trading over at/above its all-time highs) and in an uptrend, Fibonacci extensions are a great tool to use for exit targets since no previous price action exists at these levels. (Diagram 1 above)

Fibonacci levels are also great for targeting lower highs, and higher lows in periods of consolidation. (Diagram 2 below)

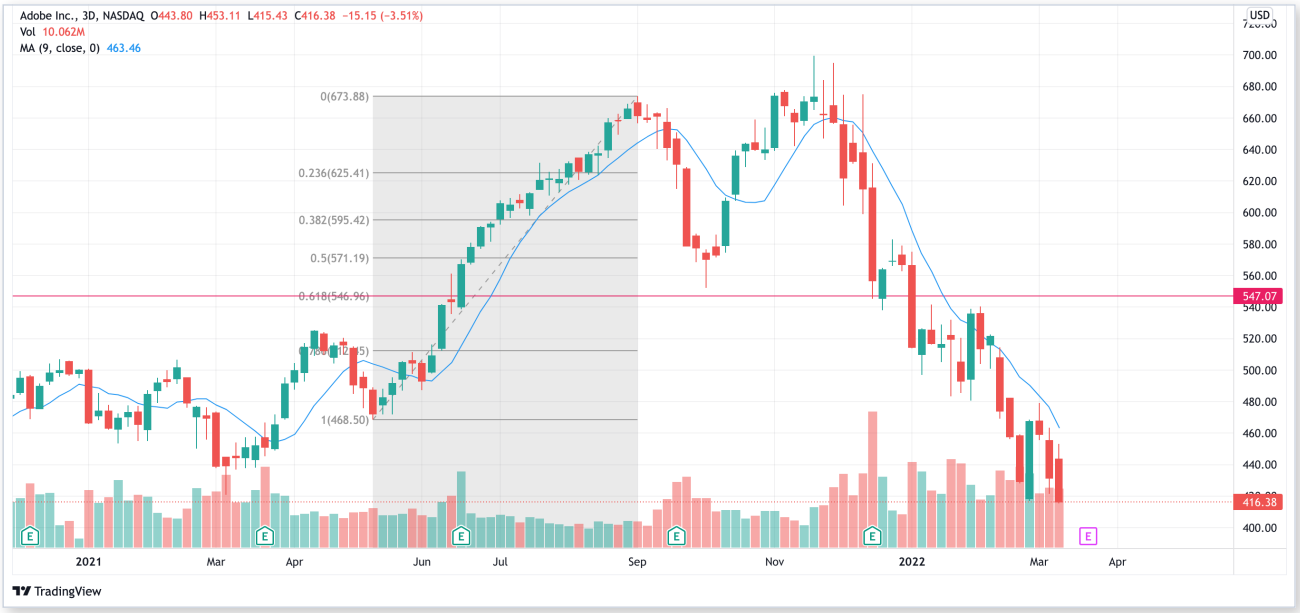

Diagram 2 ADBE (3D) – Price action setting a higher low at the 0.618 Fibonacci retracement level

Diagram 3 AAPL (1W) – Continuous mean reversal on the moving average with eventual failure as support

Moving Averages

Moving averages can be used two ways for exit targets. First as a target themselves on a trade. Example: A stock is overextended to the downside, and we buy it for an oversold bounce back into the moving average as a "mean reversion" sort of play.

Second they can be used as a stop loss. Example: A stock has been holding above it's 9 period moving average on a strong uptrend, our stop loss will be triggered once it closes below it. (Diagram 3 above)

Diagram 4 WKHS (1D) – Using the measured move of the tightening range as the breakout target

Measured Moves

These are good exit targets when we have a clear pattern. Pennants, bull flags and cup and handles all have measured moves based on their unique pattern. For example with a pennant, the target on a break out move would be the dollar amount of the initial pull back from the top to the first higher low, and add that dollar amount to an extension off the last lower high breakout. (Diagram 4 previous page)

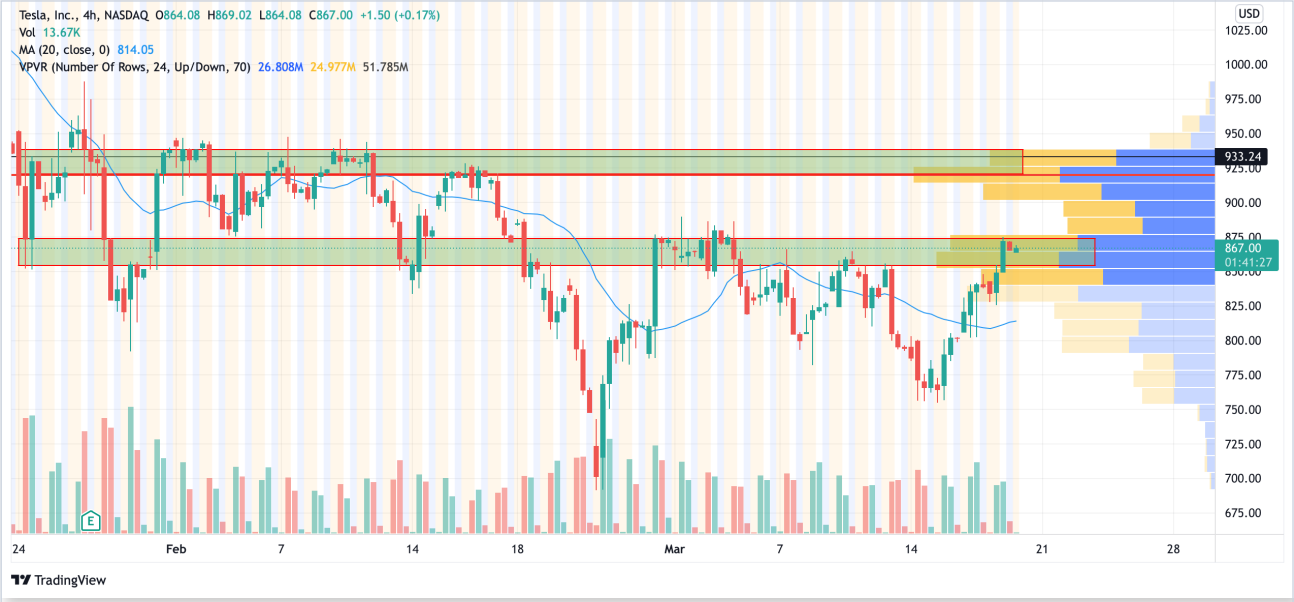

Diagram 5 TSLA (4h) – Price congestion zones (green) often act as reversals. Volume Profile inidcator shown (right).

Previous Price Action Zones

Similar to high volume nodes - a place where a lot of trading takes place, previous price action zones are excellent exit targets, especially for taking partial profit because the heavy amount of volume at theses areas usually means that price will have to pause a bit more before taking out some heavy resistance/support levels. It also means that price tends to revisit it often, which is why they are useful for targets. (Diagram 5 above)

Finally...

The key to an exit strategy is one that is logically based on the circumstances of the trade, and provides a risk reward ratio that allows you to manage your risk appropriately. Exit strategies that are planned before we enter a trade also allow us to keep perspective when emotions in the market can run amok.